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NO. 84622-1

COURT OF APPEALS, DIVISION I
OF THE STATE OF WASHINGTON

Racoon Hill, LLC,

Appellant,

v.

Washington State Liquor and Cannabis Board,

Respondent.

BRIEF OF RESPONDENT

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I. INTRODUCTION

Racoon Hill, LLC dba Doc's Riverside Tap House (Racoon Hill) received two Administrative Violation Notices (AVN) from the Washington State Liquor and Cannabis Board (the Board) in the spring of 2021. The Board issued the first AVN, No. 3E1015A, because Racoon Hill allowed conduct on their licensed premises that posed a threat to public safety in violation of WAC 314-55-015(3)(c). Specifically, Racoon Hill failed to adopt minimal COVD-19 precautions required by Proclamations 20-05 & 20-25, et seq. and the associated orders of the Secretary of Health.

Racoon Hill ignored that first AVN for nearly 40 days, taking no action to challenge it. Consequently, Racoon Hill waived its right to request an administrative hearing on the first AVN.

Even after waiving its opportunity to appeal, Racoon Hill further refused to pay the $500 alternative monetary penalty offered in lieu of a license suspension. As a result, the five-day

liquor license suspension began on the date identified on face of the first AVN. Racoon Hill chose to continue selling alcohol during the suspension period, despite being notified it could not do so. As a result of *that choice alone*, Racoon Hill received its second AVN, No. 3E1091A, for violating the terms of the license suspension pursuant to WAC 314-29-040(3).

Racoon Hill bears the burden of demonstrating the invalidity of the second AVN and completely fails to do so. Instead, Racoon Hill misstates facts and misapplies the law, in an attempt to improperly expand the scope of these proceedings to include the first AVN. Racoon Hill waived its opportunity to challenge that AVN, yet refuses to acknowledge this waiver and the lawful consequences of its choices. Because Racoon Hill does not satisfy its burden on judicial review under the APA, the Board's Final Order regarding the second AVN must be affirmed.

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/ / /

II. ISSUES

The Appellant's identified issues can be more properly restated,[1] as follows:

1. Whether the Board's Final Order affirming summary judgment on the second AVN was proper when Racoon Hill failed to demonstrate any dispute of material fact that it served alcohol during its license suspension?
2. Whether Racoon Hill waived its right to contest the first AVN when it failed to timely request an administrative hearing on that AVN?
3. Whether Racoon Hill has failed to demonstrate the existence of a right to a jury trial in an administrative hearing under chapter 34.05 RCW?
4. Whether the Board had the statutory authority to issue the first AVN when Racoon Hill allowed conduct that posed a threat to public safety on its licensed premises by refusing to comply with COVID-19 public health orders?

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[1] Appellant improperly assigns error to actions by the Office of Administrative Hearings. Appellant's Brief (App. Brief) at 2. The Office of Administrative Hearings is not a party in this case and it is only the Board's Final Order at issue. CP 78, RCW 34.05.554-62; *Tapper v. Empl. Sec. Dep't*, 122 Wn.2d 397, 403-404, 858 P.2d 494 (1993).

5. Whether Racoon Hill has failed to demonstrate that requiring patrons and employees to wear a face mask in compliance with COVID-19 public health orders was unlawful because it constituted the unlicensed practice of medicine, the use of medical devices, or the provision of medical services to which Racoon Hill could conscientiously object to providing?
6. Whether Racoon Hill has failed to otherwise demonstrate the invalidity of the Board's actions on any of grounds listed in RCW 34.05.570?

III. STATEMENT OF THE CASE

Racoon Hill LLC is a liquor licensee operating Doc's Riverside Tap House in Snohomish, Washington. Three LLC members are involved in the facts of this case: Brad Sekulich; Kenny Sekulich, and the managing LLC member, James "Jim" Sekulich. CP 395.

A. The First AVN and Racoon Hill's Five-day License Suspension

Liquor Enforcement Officer Matthew Stevenson initially visited Doc's Riverside Tap House in response to public complaints regarding the bar's COVID-19 safety practices.

CP 227. Officer Stevenson met with Brad and Kenny,[2] and reviewed the requirements for indoor dining and the minimal safety precautions their restaurant needed to take to mitigate the risk of COVID-19 transmission, as required by Governor Inslee's Proclamations 20-05 & 20-25, et seq. and the associated orders of the Secretary of Health. CP 217-18, 227-28. When Officer Stevenson returned to the premises a couple of weeks later, Racoon Hill had made no effort to adopt COVID-19 safety precautions or otherwise comply with the requirements for indoor dining. *Id*.

Due to the continued noncompliance with COVID-19 safety precautions, Officer Stevenson met with Brad and Kenny and issued AVN 3E1015A on February 17, 2021. CP 106. This first AVN cited Racoon Hill for allowing conduct on its licensed premises which posed a threat to public safety, in violation of WAC 314-11-015(3)(c). CP 223-25. WAC 314-11-

[2] Because multiple individuals share the same last name, they are referred to by their first names. No disrespect is intended.

015(3)(c) provides that "Licensees have the responsibility to control their conduct and the conduct of employees and patrons on the premises at all times. Except as otherwise provided by law, licensees or employees may not… Engage in or allow behavior that provokes conduct which presents a threat to public safety."

The AVN's proscribed penalty was a five-day liquor license suspension effective March 31, 2021, at 10:00 a.m. until April 5, 2021, at 10:00 a.m., or alternatively, payment of a $500 monetary penalty in lieu of the suspension. CP 223.

The first AVN includes the following language on its second page, under the heading "Important Notice Regarding Your Hearing Rights:"

> All payments and/or hearing requests must be postmarked within 20 calendar days of the date of service. If your payment or hearing request in not postmarked within 20 calendar days of the date of service, the original recommended suspension penalty will go into effect[.]

CP 224. Alongside the AVN, Racoon Hill also received the "Understanding your Hearing Options" resource document, which includes the following explanatory information:

> **What are my options if I receive an AVN?**
>
> After you receive an AVN, you have 20 days to respond. Your response must be submitted using the form provided [to you] at the time you received the AVN.
>
> . . .
>
> **What happens if I don't respond within 20 days?**
>
> If you don't respond within 20 days, the recommended suspension penalty will go into effect.

CP 231.

After issuing the AVN to Brad and Kenny, Officer Stevenson "spent approximately 40 minutes" explaining the AVN and related documents, including the date by which Racoon Hill had to appeal. CP 218. However, Brad later claimed that he somehow "left with the understanding" that Racoon Hill could still request a hearing or settlement conference on the day that the suspension was scheduled to

begin. CP 300. At the time, James Sekulich "rejected the need for a settlement of the issues" based on information obtained from a "'constitutional law' group seminar," which purportedly informed him that he "had sovereign rights, wherein [he] need not comply with rules adopted by a state agency." CP 297.

After confirming that the Board had not received a request for hearing on the first AVN, Officer Stevenson attempted to contact Racoon Hill. CP 218-19. Officer Stevenson called Brad on March 25 and again March 29, but received no response from any member of Racoon Hill prior to March 30, 2021. *Id.*

On March 30, 2021, James had a series of phone conversations with multiple Enforcement Officers, including Officer Stevenson and Lt. Paul Vanderwulp, regarding the suspension that was scheduled to begin the following day. CP 219, 263, 271. James clearly understood that the suspension was set to begin the following morning at 10:00 a.m. CP 396.

On the morning of March 31, 2021, Lt. Vanderwulp, Officer Stevenson, and Officer Aaron Sanchez arrived at the licensed premises to find a crowd gathered in the parking lot. CP 219-20, 264-65, 283. Lt. Vanderwulp approached James to review the suspension requirements. CP 264. Meanwhile, Officer Stevenson attempted to post a public suspension notice on the front entrance to the business. CP 220. He encountered six to eight people there recording his actions, effectively blocking his path, and creating a circumstance that Officer Stevenson thought "could turn hostile." *Id*.; CP 264-65.

Officer Stevenson could not post any suspension signs, and returned to his vehicle. CP 220. The crowd cheered and recorded the Officers as they left. *Id*. The Officers decided that attempting to post the suspension sign would unnecessarily escalate an already tense situation. CP 220, 265, 283. Later that evening, Officer Sanchez observed that the bar appeared to be fully open and operating in spite of its suspended license. CP 281-82, 285-87, 221.

B. Racoon Hill Continued to Sell and Serve Alcohol to Customers During the License Suspension

To ensure that Racoon Hill was fully apprised of its restrictions during the license suspension, Officer Stevenson emailed James a copy of the Restrictions During Liquor License Suspension acknowledgement form on April 1, 2021. CP 221, 256-57. One of the seven enumerated prohibitions was the "[s]ale, service, consumption or other disposal of liquor." CP 257.

Later that same day, Capt. Thomas Dixon arrived at Doc's Riverside Tap House where he observed six or seven patrons seated at the bar with glasses of beer, with four or five more patrons drinking beer at a near-by table, and at least two people in the outside dining area. CP 276-77. The bartender sold and served Capt. Dixon a 64-ounce growler of beer. CP 276-78.

Because Racoon Hill violated the suspension restrictions by selling alcohol, Officer Stevenson issued the second AVN,

No. 3E1091A, to Racoon Hill via certified mail on April 8, 2021. CP 221-22, 234-36.

C. Adjudicative Proceedings Before the Office of Administrative Hearings

Racoon Hill submitted a timely request for hearing to challenge the second AVN. The Board assigned the matter to the Office of Administrative Hearings to conduct the initial adjudicative proceedings. CP 167.

Following a prehearing conference, Office of Administrative Hearings issued the Prehearing Conference Order, which confirmed the issues to be heard and set the case schedule. CP 177-86. The Prehearing Conference Order further notified the parties that they had 10 days to object to the order. *Id*. Racoon Hill made an untimely objection to the Prehearing Conference Order that alleged unspecified bad faith and alluded to amorphous questions of subject matter jurisdiction, as a basis for expanding the Prehearing Conference Order's issue statement to include the first AVN that it had previously failed

to appeal. CP 116-31. Racoon Hill's objection was denied. *See generally*, CP 329-34.

Both parties filed cross motions for summary judgment. CP 209-16; 289-95. After hearing argument, the administrative law judge issued the Initial Order granting summary judgment in favor of the Board's Enforcement Division (LCB Enforcement), and affirming the second AVN. CP 392-404.

D. The Board's Final Order and Racoon Hill's Petition for Judicial Review in Superior Court

Racoon Hill petitioned the Board to review the Initial Order. CP 292-305, 321-31. A unanimous Liquor and Cannabis Board affirmed the Initial Order and adopted its findings and conclusions as the Final Order of the Board. CP 481-84.

Racoon Hill timely filed a petition for judicial review of the second AVN and requested to stay the Board's Final Order. CP 529-39. Snohomish County Superior Court denied Racoon Hill's motion for a stay and the Final Order's fifteen-day suspension commenced on March 3, 2022.

On October 1, 2022, the Snohomish County Superior Court affirmed the Board's Final Order concluding that Racoon Hill failed meet its burden to demonstrate the invalidity of the agency's action. RCW 34.05.570(1)(a). CP 4-8. Racoon Hill then filed its Notice of Appeal to this Court. CP 1-2.

IV. STANDARD OF REVIEW

This case is an appeal of a final agency order in an adjudicative proceeding under Washington's Administrative Procedure Act (APA), Chapter 34.05 RCW. Judicial review under the APA is limited to the agency's final decision and confined to facts in the administrative record. RCW 34.05.554-62; *Tapper v. Empl. Sec. Dep't*, 122 Wn.2d 397, 403-404, 858 P.2d 494 (1993) (commissioner's decision, not the administrative law judge's, is the one that the court reviews). Therefore, the only agency action under review is the Board's Final Order regarding the second AVN. CP 481-84. The first AVN is not properly before this court.

"The party asserting the invalidity of the agency's action bears the burden of demonstrating that invalidity." *Edelman v. State*, 160 Wn. App. 294, 303, 248 P.3d 581 (2011) (citations omitted); RCW 34.05.570(1)(a). "'[A]n appellant's brief must include arguments supporting the issues presented for review and citations to legal authority.'" *Collins v. Clark Cnty. Fire Dist. No. 5*, 155 Wn. App. 48, 95-96, 231 P.3d 1211 (2010) (quoting *Bercier v. Kiga*, 127 Wn. App. 809, 824, 103 P.3d 232 (2004)). Arguments that are not developed or that lack authority need not be considered. *Norcon Builders, LLC v. GMP Homes VG, LLC*, 161 Wn. App. 474, 486, 254 P.3d 835 (2011).

Under the APA, a court may "grant relief from an agency's order arising from an adjudicative proceeding only if [the court] determine[s] that one or more of the statutory bases for relief enumerated in RCW 34.05.570(3) are established." *Edelman*, 160 Wn. App. at 303-04. Racoon Hill's briefing cites seven of the statutory grounds for relief, RCW 34.05.570(3)(a-f), (i); but only presents argument on the "error of law"

standards of §§(3)(a), (b), (c), and (d). App. Brief at 2-3, 9, 18, 25. This Court thus need not consider other statutory grounds of relief.

Under the error of law standard, courts review an agency's legal conclusions de novo and may "essentially substitute its judgment for that of the administrative body, though substantial weight is accorded the agency's view of the law." *Nat'l Fed'n of Retired Persons v. Ins. Comm'r*, 120 Wn.2d 101, 119, 838 P.2d 680 (1992) (quoting *Franklin Cnty. Sheriff's Office v. Sellers*, 97 Wn.2d 317, 325, 646 P.2d 113 (1982). "When the agency has expertise in a specialized field of law and has quasi-judicial functions in that field," the courts will "accord substantial weight to its construction of statutory words, phrases, and legislative intent." *Wash. Indep. Tel. Ass'n v. WUTC*, 110 Wn. App. 498, 516, 41 P.3d 1212 (2002), *aff'd*, 149 Wn.2d 17, 65 P.3d 319 (2003).

The reviewing court will not weigh the evidence or substitute its view of the facts for that of the agency. *Id.*; s*ee*

also Callecod v. Wash. State Patrol, 84 Wn. App. 663, 676, 929 P.2d 510 (1997). Findings of fact to which no error has been assigned are considered verities on appeal. *Davis v. Labor & Indus.*, 94 Wn.2d 119, 123-24, 615 P.2d 1279 (1980); *Fuller v. Dep't of Emp. Sec.,* 52 Wn. App. 603, 606, 762 P.2d 367 (1988).

A court "shall not itself undertake to exercise the discretion that the legislature has placed in the agency." RCW 34.05.574(1); *Port of Seattle v. Pollution Control Hearings Bd.*, 151 Wn.2d 568, 589, 90 P.3d 659 (2004). Even if a reviewing court disagrees with an agency's decision, it "is not arbitrary or capricious if there is room for more than one opinion and the decision is based on honest and due consideration." *Stewart v. Dep't of Soc. & Health Servs.*, 162 Wn. App. 266, 273, 252 P.3d 920 (2011).

V. ARGUMENT

The resolution of this case is not complicated. CP 4. The Board properly suspended Racoon Hill's liquor license for a

period of 15 days after it refused to comply with an earlier five-day suspension. As the Superior Court correctly summarized: "A suspension was in effect, it was not contested timely, and a violation occurred when alcohol was served. The time to contest the initial suspension passed without any objection being raised, argued, or litigated." CP 7. Racoon Hill's challenges to the Governor's emergency COVID proclamations are not only factually baseless, they are also legally irrelevant.

Because Racoon Hill fails to show the relevance of its various arguments about the first AVN, and fails to assert any direct argument against the validity of the only agency action at issue, the Board's Final Order on the second AVN, this Court should affirm. RCW 34.05.570(1)(a).

A. The Board's Final Order is Lawful and the 15-Day License Suspension Penalty Was Appropriate

The Initial Order found that Racoon Hill violated WAC 314-29-040(3) by selling and serving alcohol during a liquor license suspension. CP 392-404. Because there is no

dispute that Racoon Hill violated the conditions of its liquor license suspension, the second AVN should be affirmed.

1. The Initial Order appropriately granted summary judgment because there were no issues of genuine issues regarding the fact or law.

At the administrative hearing level, LCB Enforcement produced credible, admissible evidence proving the violation alleged in the second AVN, as a basis for imposing the standard penalty. CP 209-88. Racoon Hill failed to identify a genuine issue of material fact that would necessitate an evidentiary hearing. CP 399-402; *McGough v. City of Edmonds*, 1 Wn. App. 164, 168, 460 P.2d 302 (1969). Additionally, by filing a cross-motion for summary judgment, Racoon Hill effectively conceded that there was no genuine dispute over the material facts of the case. *Pleasant v. Regence BlueShield,* 181 Wn. App. 252, 261, 325 P.3d 237 (2014). As the Superior Court correctly observed:

> It is uncontested factually that the first notice was not timely contested through the agency process. It is also uncontested that the first notice of

> suspension was not complied with when alcohol was served. It is unclear when the above is conceded what unconstitutional behavior the agency engaged in or how the Administrative Law Judge committed some error from the uncontested factual basis as provided.

CP 6-7. Racoon Hill appears to have largely abandoned its prior arguments related to the application of the summary judgment standard. CP 66-67, 81-83. In its place, Racoon Hill solely asserts arguments against the validity of the first AVN, which is not properly before this court. App. Brief at 2-3.

2. The penalty assessed under the second AVN is appropriate

"Failure to follow any suspension restriction while [a] liquor license is suspended" results in a standard penalty equal to the original suspension penalty plus an additional "10 day suspension with no monetary option." WAC 314-29-020. As a result, the Board's Final Order affirmed the second AVN and imposed a 15-day license suspension for Racoon Hill's refusal to comply with the first AVN's 5-day license suspension.

Because violations of WAC 314-11-015(3) and WAC 314-29-040 are both classified as "Group 1 violations

against public safety[,]" these violations would typically be "counted sequentially rather than independently" on the Board's standard penalty schedule. WAC 314-29-020(2). Therefore, Racoon Hill's second AVN for a violation of WAC 314-29-040 was also its second Group 1 violation within a two-year period with license cancellation as the standard penalty. *Id*. Instead of seeking outright cancelation, the Board exercised restraint within its discretion and only imposed a 15-day license suspension penalty. *Id*.; WAC 314-29-015(4). As an administrative agency, the Board's determination of sanctions should be accorded considerable judicial deference as it is peculiarly a matter of administrative competence. *Prostov v. State, Dep't of Licensing*, 186 Wn. App. 795, 814, 349 P.3d 874 (2015) (citing *Brown v. State, Dep't of Health, Dental Disciplinary Bd.*, 94 Wn. App. 7, 16, 972 P.2d 101 (1998)).

B. Racoon Hill's Challenges to the First AVN Are Not Properly Before this Court

The only violation notice at issue in this appeal is the second AVN, which solely concerns Racoon Hill selling and

serving alcohol during a liquor license suspension. CP 234-36. Notably, in briefing to this Court, Racoon Hill has exclusively advanced arguments against the validity of the first AVN, which it failed to timely contest. App. Brief at 2-3. Racoon Hill fails to provide any rationale for its conflation of the first AVN with the second one and simply presumes this Court will just "set aside" the agency action that is the actual subject of this appeal. App. Brief at 18, 25, 27, 30.

These untimely arguments have been uniformly rejected every time Racoon Hill attempted to raise them. CP 5-7, 179-81, 330-31, 339-402, 456-58, 481, 523. Likewise, this Court should also reject Racoon Hill's latest attempt to untimely challenge to the first AVN.

1. Racoon Hill waived its opportunity to contest the first AVN

Any issues which could have been raised in an appeal to the first AVN are not properly before this Court, because Racoon Hill failed to timely request an administrative hearing. A violation that results in a license suspension is distinct from a

subsequent violation of that license suspension. WAC 314-29-040(3); WAC 314-29-020(2).

In briefing this Court, Racoon Hill cites to CP 242-248 to assert that it "objected in writing" to the first AVN on March 8, 2021. App. Brief at 5. However, the Board "has no record of receiving these documents prior to March 30, 2021." CP 219; CP 245 (page stamped with receipt date); CP 396 (Initial Order ¶ 4.15). Even presuming the March 8 date is accurate, Brad and Kenny's "notice" letters contain no clear reference to the first AVN or the substance of the alleged violation, and are not a proper request for an administrative hearing. WAC 314-29-010; WAC 10-08-035; RCW 34.05.413. Racoon Hill waived its right to an administrative hearing to contest the initial suspension was when it chose to ignore the first AVN for nearly 40 days. CP 218-19, 223-25, 297, 300.

2. Racoon Hill is not entitled to a jury trial

The Appellant's Brief misrepresents the administrative record and then, based on those misrepresentations, Racoon

Hill argues that it was somehow constitutionally entitled to a jury trial over a liquor license suspension. App. Brief at 28-30. Racoon Hill's argument is both factually baseless and unsupported as a matter of law.

a. Racoon Hill was not cited for a criminal conduct violation at any point in these proceedings

In an attempt to find support for its argument, the Appellant's Brief repeatedly characterizes the first AVN as a "criminal conduct" violation. App. Brief at 5-6, 14-15, 22, 28-30. As argued above, the first AVN is not properly before this Court and thus cannot be a basis for any right to a jury trial with respect to the second AVN.

Even if the first AVN was before this court, Racoon Hill misunderstands the nature of the proceedings. Administrative proceedings for a license violation are not criminal judicial proceedings, even if the violations involve conduct that may be criminal in nature. *Jow Sin Quan v. Liquor Control Bd.*, 69 Wn.2d 373, 382, 418 P.2d 424 (1966) ("Board action,

directed toward the suspension [of a] liquor license is not a criminal proceeding."). The administrative adjudication of a liquor license violation is a proceeding under Chapter 34.05 RCW, not Title 10 RCW. RCW 66.08.150. While the Board may refer certain cases involving criminal activity to a county prosecuting attorney, it does not bring criminal charges against individuals. *See* RCW 66.44.292; *see also Dodge City Saloon, Inc. v. Liquor Control Bd.*, 168 Wn. App. 388, 399, 288 P.3d 343, 348 (2012) (distinguishing the Board's administrative proceedings against a licensed corporation from a criminal misdemeanor charge against natural person). However, even the "mere pendency of related civil and criminal proceedings does not prevent the civil proceedings from going forward." *King v. Olympic Pipeline Co.*, 104 Wn. App. 338, 352, 16 P.3d 45 (2000).

Therefore, *even if* Racoon Hill had received a WAC 314-11-015(2) criminal conduct AVN, which did not happen, it would still be "an administrative regulatory proceeding—civil

and disciplinary in nature—the purpose of which is to protect the public health, safety and morals from imprudent, improper, and/or unlawful actions of the board's licensees in the exercise of the privilege conferred upon them." *Jow Sin Quan v. Liquor Control Bd*., 69 Wn.2d at 382. As argued below, no jury trial right attaches to administrative proceedings under the APA.

Racoon Hill's description of the first AVN as a "criminal conduct" violation is a mischaracterization of the administrative record. The only apparent basis for this repeated "criminal conduct" assertion is a singular highlighter mark on a copy of WAC 314-29-020 provided alongside the first AVN when it was served on Racoon Hill. CP 226; App. Brief at 10. That mark is irrelevant. Racoon Hill completely ignores the difference between WAC 314-11-015(3)(d), which was the

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basis for the first AVN, and WAC 314-11-015(2),[3] which was not.

Racoon Hill was not cited for criminal conduct in violation of WAC 314-11-015(2) at any point. The first AVN did not cite WAC 314-11-015(2). CP 223. The second AVN did not cite to either WAC 314-11-015(2) or (3), *at all*. CP 234. The formal administrative complaint for the second AVN did not cite to WAC 314-11-015(2). CP 158. The Prehearing Conference Order did not cite to WAC 314-11-015(2). CP 180. LCB Enforcement's Motion for Summary Judgment did not cite to WAC 314-11-015(2). CP 209-15. The Initial Order did not cite to WAC 314-11-015(2). CP 392, 401. Finally, the Board's Final Order did not cite to WAC 314-11-015(2). CP 481-84. Racoon Hill's repeated assertion that it was the

[3] WAC 314-11-015(2) applies to conduct in violation of the Washington Criminal Code (Titles 9, 9A RCW), Controlled Substances Act (Title 69 RCW), and prohibition on the sale of tobacco to minors (Chapters 70.155, 82.24 RCW, and RCW 26.28.080).

subject of "criminal conduct" charges has no support in law or fact.

b. There is no right to a trial by jury in administrative adjudications conducted under Washington's APA

Racoon Hill's argument also fails because there is no jury trial right in an administrative adjudicative proceeding before the Liquor and Cannabis Board. Any "action, order, or decision" of the Board regarding the suspension of any license "must be an adjudicative proceeding and subject to the applicable provisions of chapter 34.05 RCW." RCW 66.08.150. Racoon Hill asserts that the Seventh Amendment to the U.S. Constitution and Article I, § 21 of the Washington Constitution ensure a "right to a jury trial for administrative charges that are criminal in nature" and cites *Jarkesy v. Sec. & Exch. Comm'n*, 34 F.4th 446 (5th Cir. 2022), as it sole support for this application. App. Brief at 34. Racoon Hill is incorrect.

First, the Washington Constitution provides no right to a jury trial "in statutorily created actions without common law

analogues." *State v. State Credit Ass'n*, 33 Wn. App. 617, 621, 657 P.2d 327 (1983) (citing *State Bd. of Med. Examiners v. Macy*, 92 Wash. 614, 159 P. 801 (1916)). In Washington, reviews of agency action are governed by the APA. The APA has no provisions allowing a jury to serve as fact finder in an adjudicative proceeding before an administrative agency. While "jury trial review" does exist in judicial appeals of orders from certain agencies, such review is only available where "expressly authorized by provision of law." RCW 34.05.510(3).[4] Racoon Hill has not identified any explicit statutory authorization that permits a jury trial in on judicial review of a Final Order of the Liquor and Cannabis Board. *See Lakeside Indus., Inc. v. Dep't of Revenue*, 524 P.3d 639, 644–45 (Wash. 2023).

Second, Racoon Hill misunderstands the scope of the Seventh Amendment. The Seventh Amendment provides that "[i]n suits at common law, . . . the right of trial by jury shall be

[4] An example of an explicit statutory authorization for jury trial review is RCW 51.52.115, which concerns judicial review of orders of the Board of Industrial Insurance Appeals.

preserved[.]" U.S. Const. amend. VII. "The Seventh Amendment was never intended to establish the jury as the exclusive mechanism for fact[]finding in civil cases." *Atlas Roofing Co., Inc. v. Occupational Safety & Health Rev. Comm'n*, 430 U.S. 442, 460, 97 S. Ct. 1261, 1271, 51 L. Ed. 2d 464 (1977). In fact, the U.S. Supreme Court has expressly held that "the Seventh Amendment is generally inapplicable in administrative proceedings, where jury trials would be incompatible with the whole concept of administrative adjudication and would substantially interfere with the [administrative agency's] role in the statutory scheme." *Curtis v. Loether*, 415 U.S. 189, 194, 94 S. Ct. 1005, 39 L. Ed. 2d 260 (1974).

Third, Racoon Hill misapplies *Jarkesy*. In *Jarkesy*, the U.S. Securities and Exchange Commission brought an administrative enforcement action against a hedge fund operator and investment advisor based on allegations that they committed securities fraud. *Jarkesy*, 34 F.4th at 450. The

majority reasoned that "fraud actions under the securities statutes echo actions that historically have been available under the common law," are not a type of claim that is uniquely suited to agency adjudication, and requiring a jury trial would not dismantle the existing statutory scheme which already permitted SEC enforcement of fraud claims in federal court. *Id.* at 453-455. None of those factors are remotely present here.

Since 1933, the Legislature has vested the Board with the authority to administer Washington's alcohol laws. As such, the "dominion of the Board over the regulation, supervision and licensing of liquor is broad and extensive." *Sukin v. Liquor Control Bd.*, 42 Wn. App. 649, 653, 710 P.2d 814 (1985). Liquor licensees hold their license "subject to the continuing regulation, supervision, and jurisdiction of the issuing authority[.]" *Jow Sin Quan v. Liquor Control Bd.*, 69 Wn.2d at 382. SEC enforcement of a criminal fraud statute is in no way similar to the Liquor and Cannabis Board penalizing a liquor licensee who refused to comply with a liquor license

suspension. Racoon Hill has provided no argument to the contrary.

3. The first AVN for allowing conduct that posed a threat to public safety was validly issued

As argued above, the first AVN is not before this court because Racoon Hill waived its right to challenge the first AVN. However, even if this Court were to consider Racoon Hill's untimely challenge, the first AVN was validly issued. Requiring a licensed liquor establishment to operate safely is well within the Board's statutory authority.

As a business licensed by the Board, Racoon Hill is obligated to operate in compliance with state law and Board regulations, with a "responsibility to control . . . the conduct of employees and patrons on the premises at all times." WAC 314-11-015(3). This responsibility includes adopting minimal public safety precautions lawfully required during a public health emergency. Racoon Hill's refusal to take action, after repeated warnings from LCB Enforcement Officers, allowed "behavior .

. . which presents a threat to public safety" within the plain language of WAC 314-11-015(3)(c).

Racoon Hill's argument against the underlying validity of the mask mandate "lacks merit because state statutes give the governor and the secretary of health the power to mandate masking pursuant to their authority under a state of emergency[.]" *In re Recall of Bird*, No. 100976-3, slip op at 15 (Wash. Apr. 27, 2023). Proclamations 20-05 & 20-25, et seq., were all validly issued with the full force and effect of law. RCW 43.06.220; *See also Matter of Recall of White*, 196 Wn.2d 492, 504, 474 P.3d 1032 (2020). As a unanimous Washington Supreme Court noted, the COVID-19 pandemic is "a disaster unlike any the citizens of Washington have seen before" and Governor Inslee "used his discretion to navigate this pandemic, making difficult decisions in an effort to balance the health and safety of Washingtonians with their individual liberties." *Matter of Recall of Inslee*, 199 Wn.2d 416, 434, 508 P.3d 635 (2022). While some may disagree with the

Governor's discretionary decisions, that does not make those decisions unlawful or invalid.

As Division II of this Court has also recognized, "the plain language of RCW 43.06.220(1)(h) is unambiguous" and permits the governor to issue an order prohibiting any activities the governor reasonably believes is necessary "to help preserve and maintain life, health, property or the public peace." *Gonzales v. Inslee*, 21 Wn. App. 2d 110, 128, 504 P.3d 890, 900–01 (2022). The term "activities" is "extremely broad." *Id.* Moreover, the proclamations' preamble made clear that the governor "reasonably believed that prohibiting those activities was necessary to preserve life, health, and property." *Id.*

The Secretary of Health's authority to issue Order 20-03 has also been consistently upheld as lawful on multiple grounds:

> Although RCW 43.70.130 delegates broad authority to the secretary [of health], a delegation is not improper simply because it is broad The mask mandate falls squarely within the delegated powers: the Secretary acted within his authority

> under subsection (10) by taking measures "necessary in order to promote the public health." The COVID-19 virus has caused over 80,000 deaths in Washington. The virus is also highly contagious.
>
> Alternatively, the mask mandate also falls within the secretary's authority as delegated by subsection (7) because the governor has declared a state of emergency. And, the governor authorized the secretary of health to act as local health officer pursuant to the state of emergency.

Sehmel v. Shah, 23 Wn. App. 2d 182, 194, 514 P.3d 1238, 1245 (2022).

The U.S. Supreme Court has also upheld similar emergency proclamations as a matter of both public health and public safety in response to the COVID-19 pandemic, reasoning that the Constitution "principally entrusts '[t]he safety and the health of the people' to the politically accountable officials of the States 'to guard and protect.'" *S. Bay United Pentecostal Church v. Newsom*, 140 S. Ct. 1613, 207 L. Ed. 2d 154 (2020) (citing *Jacobson v. Massachusetts*, 197 U.S. 11, 38, 25 S.Ct. 358, 49 L.Ed. 643 (1905)). The mask mandate was in place to protect the public from the spread of COVID-19 as a public

safety measure. Racoon Hill's refusal to adopt the most minimal public safety precautions, even after a prior warning from the Board, posed a threat to public safety within the plain language of WAC 314-11-015(3)(c).

The Board is well within its authority to regulate "the sale of liquor kept by the holders of licenses" to sell liquor; prescribe "the conditions, accommodations, and qualifications requisite for the obtaining of licenses to sell beer, wines, and spirits and [regulate] the sale of beer, wines, and spirits thereunder." RCW 66.08.030(6), (12). Racoon Hill effectively asks this Court to read a restriction into Washington's Liquor Control Act where none exists. Such a restriction would frustrate the statute's purpose.

RCW 66.08.010 provides that the Liquor Control Act is "an exercise of the police power of the state, for the protection of the welfare, health, peace, morals, and safety of the people of the state, and all its provisions shall be liberally construed for the accomplishment of that purpose." Administrative agencies

have implied authority to carry out their legislatively mandated purposes. *Tuerk v. Dep't of Licensing*, 123 Wn.2d 120, 125, 864 P.2d 1382 (1994) (quoting *State ex rel. Puget Sound Navigation Co. v. Dep't of Transp.*, 33 Wn.2d 448, 481, 206 P.2d 456 (1949), and *State ex rel. R.R. Comm'n v. Great N. Ry. Co.*, 68 Wash. 257, 123 P. 8 (1912)); *see also* RCW 66.98.070. While the Board's Officers could not issue a citation to a non-licensed business or individual whose conduct presented a risk to the public safety, it has clear authority to hold a licensed business accountable for the conduct and behavior a licensee allows on its licensed premises.

In fact, there are other Board rules that regulate conduct on licensed premises in the interest of public safety, which are not directly related to alcohol sales. WAC 314-11-015(3)(a) prohibits disorderly people from remaining on licensed premises, regardless of whether the disorderly conduct is the result of alcohol consumption. WAC 314-11-015(3)(g) prohibits the consumption of cannabis on licensed premises.

WAC 314-11-015(4) prohibits a licensee or employee from dancing or spending time with a patron for compensation. Each of these rules prohibit certain conduct on licensed premises, regardless of whether the individuals involved have purchased or consumed liquor at that location, and the licensee is held responsible for allowing prohibited conduct to occur on their premises.

Alternatively, even if the regulated conduct needed to be directly connected to the sale and control of liquor, which it does not, there are sufficient ties to alcohol sales in this instance. Racoon Hill was selling and serving alcohol in a manner that was not safe, in violation of WAC 314-11-015(3)(c). "There can be no question but that the board, in the interests of public health, safety, and morals, [possesses] the constitutional and statutory power to control and regulate the dispensation of alcoholic beverages." *Jow Sin Quan v. Liquor Control Bd.*, 69 Wn.2d at 379.

4. Racoon Hill was never required to practice medicine, use specialized medical devices, or otherwise provide health care services to anyone

Racoon Hill's medical-themed arguments all presume the truth of their conclusions and assume the reasoning is somehow obvious. It is not. Compliance with a lawful public health order does not require anyone to use a specialized medical device or obtain any medical training or certification. Racoon Hill runs a bar and restaurant: it is not a health care provider, it does not offer health care services. Racoon Hill must simply take the minimal safety precautions required in the operation of its licensed liquor establishment. CP 227-28.

a. Adopting COVID-19 safety precautions is not the practice of medicine

Racoon Hill's meritless and unsupported arguments surrounding COVID-19 safety precautions constituting the practice of medicine are incorrect.

The Secretary of Health's Order 20-03 only required a simple face covering that could:

- Fit snugly against the sides of the face;
- Completely cover the nose and mouth;
- Be secured with ties, ear loops, elastic bands, or other equally effective method;
- Include at least one layer of cloth, although multiple layers are strongly recommended;
- Allow for breathing without restriction; and
- Be capable of being laundered and machine dried without damage or change to shape.

App. Brief Appx. at 142. As one Florida state court concluded, in rejecting a similar argument: "Masks are primarily intended to reduce the emission of virus-laden ('source control')," which is particularly important for "asymptomatic or presymptomatic infected wearers who feel well and may be unaware of their infectiousness to others, and who are estimated to account for more than 50% of transmissions." *Machovec v. Palm Beach Cty.*, 310 So.3d 941, 946 (Fla. Dist. Ct. App. 2021)(footnotes omitted). The Court reasoned that "requiring facial coverings to be worn in public is not primarily directed at treating a medical condition of the person wearing the mask/shield." *Id.* Rather, "requiring individuals to cover their nose and mouth while out

in public is intended to prevent the transmission from the wearer of the facial covering to others (with a secondary benefit being protection of the mask wearer)." *Id.* The *Machovec* court's reasoning has been cited favorably in federal courts across the country.[5] "[One cannot] plausibly allege that the government is requiring medical treatment by requiring individuals to wear a face mask." *Zinman v. Nova Se. Univ., Inc.*, 21-CV-60723, 2021 WL 4025722, at *17 (S.D. Fla. Aug. 30, 2021), *R. & R. adopted sub nom.*, *Zinman v. Nova Se. Univ.*, 21-CIV-60723-RAR, 2021 WL 4226028 (S.D. Fla. Sept. 15, 2021), *aff'd sub nom.*, *Zinman v. Nova Se. Univ., Inc.*, 21-13476, 2023 WL 2669904 (11th Cir. Mar. 29, 2023).

By Racoon Hill's logic, every cafeteria with sneeze-guard over a salad bar is practicing medicine and therefore "exposed . . . to potential criminal liability" for taking basic

[5] *See Celauro v. Whole Foods Mkt.*, No. 21-CV-00310-KLM, 2021 WL 4844538, at *5 (D. Colo. Oct. 18, 2021); *see also Manning v. Whole Foods Mkt. Grp.*, Inc., No. 21-CV-10833-ADB, 2022 WL 194999, at *7 (D. Mass. Jan. 21, 2022).

sanitation measures that mitigate the transmission of disease. App. Brief at 18. Racoon Hill's argument that complying with COVID-19 safety precautions constitutes the practice of medicine is absurd and has no support in law or fact.

b. Requiring the use of face masks is not a health care service

Racoon Hill's claims that adopting Covid-19 safety precautions would have exposed them to legal liability are also unsound. For the purposes of federal regulations on the production and sale of medical devices, face masks are medical devices when they are intended for use in the diagnosis, cure, mitigation, treatment, or prevention of disease. 21 U.S.C. § 321(h)(1). The U.S. Food and Drug Administration (FDA) classifies non-surgical face masks as a Class I device, the category for devices that pose the least inherent risk, with safety and effectiveness reasonably assured through good manufacturing practices. 21 C.F.R. § 878.4040; 21 C.F.R. § 860.3. Certain types of face masks, like those "worn by operating room personnel during surgical procedures," are

classified as Class II medical devices. 21 C.F.R. § 878.4040(a). However, these regulations do not concern Racoon Hill's business because it is neither a manufacturer nor a retailer of face masks. Similarly, Racoon Hill provides no rationale for the applicability of statutes concerning health insurance coverage in Chapter 48.43 RCW or Chapter 70.47 RCW. App. Brief at 26-27.

In April 2020,[6] pursuant to 21 U.S.C. § 360bbb-3, non-surgical face masks were authorized for use as source control by members of the general public to help prevent the spread of COVID-19. Ctr. for Devices & Radiological Health, U.S. Food & Drug Admin., *Enforcement Policy for Face Masks and Barrier Face Coverings During the Coronavirus Disease (COVID-19) Public Health Emergency* at 6 (March 13, 2023), https://www.fda.gov/media/136449/download. Racoon Hill had

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[6] *See generally*, *FDA Emergency Use Authorization for face masks (non-surgical)* (April 24, 2020), https://www.fda.gov/media/137121/download; *Emergency Use Authorization Declaration*, 85 Fed. Reg. 17,335 (March 27, 2020).

absolutely no reason to think it might be exposed to civil or criminal liability for requiring individuals to comply with the Secretary of Health's Order 20-03 while on the licensed premises. *See generally*, *Declaration Under the Public Readiness and Emergency Preparedness Act for Medical Countermeasures Against COVID-19*, 85 Fed. Reg. 15, 198 (March 17, 2020). Racoon Hill's arguments to the contrary are incorrect and unsupported.

C. Racoon Hill's Other Arguments are Meritless

Racoon Hill raises several other arguments in passing that are not properly before this Court. For example, Racoon Hill cites RCW 34.05.570(2)(c), apparently under the mistaken belief that it provides an independent basis to challenge the facial validity of WAC 314-11-015 "in the context of" the judicial review of an agency order based on a violation of an entirely different rule. App. Brief at 9, 18, 25, 30. As previously argued, however, WAC 314-11-015 is not before this court

because Racoon Hill waived its right to challenge the first AVN.

Regardless, the record presented is an inadequate basis for a RCW 34.05.570(2) rule challenge, as it does not include the rule-making file for WAC 314-11-015 or any other rule. RCW 34.05.370. Racoon Hill's appeal contests the Board's application of WAC 314-11-015 to the facts of this case, *not* the original validity of the WAC 314-11-015 at the time of its adoption in 2001.[7] RCW 34.05.570(1)(b); RCW 34.05.546(4) (Petitions for judicial review must identify the relevant agency action at issue); *see* CP 529-39 (Appellant's Petition). "Without the rule-making file, this court cannot meaningfully review the agency's reasoning process for adopting the rule." *Worthington v. Liquor & Cannabis Bd.*, 1 Wn. App. 2d 1020 (2017) (unpublished) (citing *Musselman v. Dep't of Soc. & Health Servs.*, 132 Wn. App. 841, 853-54, 134 P.3d 248 (2006)).

[7] Washington State Register 01-06-014.

Additionally, the Appellant's Brief only presents arguments addressing the "error of law" standards of RCW 34.05.570(3)(a-d); despite also citing other statutory grounds for review of agency adjudicative orders, including: §(e) substantial evidence, §(f) undecided issues remaining, and §(i) arbitrary and capricious review. App. Brief at 2-3, 9, 18, 25. "Passing treatment of an issue or lack of reasoned argument is insufficient to merit judicial consideration." *Holland v. City of Tacoma*, 90 Wn. App. 533, 538, 954 P.2d 290 (1998), as amended (May 22, 1998); *see Cowiche Canyon Conservancy v. Bosley*, 118 Wn.2d 801, 809, 828 P.2d 549 (1992) ("An issue raised and argued for the first time in a reply brief is too late to warrant consideration.").

VI. CONCLUSION

As the Superior Court correctly observed, the resolution of this case is not complicated. CP 4. Racoon Hill chose to ignore the first AVN, thereby waiving the right to a hearing to contest the penalty it imposed. Racoon Hill refused to pay the

alternative monetary penalty, resulting in a five-day liquor license suspension. Racoon Hill then chose to continue selling alcohol in spite of the liquor license suspension. As a result of *that choice alone*, Racoon Hill received the second AVN, No. 3E1091A, for violating the conditions of the suspension of their liquor license, under WAC 314-29-040(3).

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The Board properly decided to suspend Racoon Hill's liquor license for a period of 15 days for refusing to comply with that earlier five-day suspension. Racoon Hill has failed to demonstrate that the agency's action was the result of legal error or in violation of any constitutional provisions. RCW 34.05.570. Because Racoon Hill does not satisfy its burden, the Board's Final Order on AVN 3E1091A must be affirmed.

This document contains 7,476 words, excluding the parts of the document exempted from the word count by RAP 18.17.

RESPECTFULLY SUBMITTED this 10th day of May, 2023.

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PROOF OF SERVICE

I certify that I filed and served the foregoing Brief of Respondent with the Clerk of the Court using its electronic filing system and had it served on the following parties, according to the Court's protocols for electronic filing and service:

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☒ Clerk of the Court electronic filing system

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

DATED this 10th day of May, 2023, at Olympia, Washington.

MARLENA MULKINS
Legal Assistant

AGO/GCE

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